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Personal Inflation and the Retirement Cost of Living

“...Inflation is much lower than it has been in the past because the central bank is doing a great job, so I don’t have to worry about this too much....”

Myth #5

Growing up in Latin America during the 1980s, I quickly learned how to adapt to the impact of inflation in daily life. With annual inflation rates reaching over triple digits, even young children knew to never expect the same price twice. Cash wasn’t allowed to sit idle and interest rates on bank deposits were designed to outpace inflation. We knew that salaries were linked to the U.S. dollar and pension income was stated in *unidades reales*, which is effectively a pseudo-currency consisting of a basket of consumable goods. Yes, complicated, but a fact of life.

Then, as I moved back to a monetarily stable North American environment, the debilitating power of inflation moved to my mental back burner. It toppled down my list of risks and worries. After all, the consumer price index (CPI) in the U.S. has increased by an average compound rate of only 2.96% per annum over the last quarter century of available data. Indeed, 25 years ago I was just starting high school and 2.96% was considered a decent weekly rate of inflation in many parts of the world. So clearly, the U.S. has been quite fortunate and blessed with low inflation rates. Table 5.1 lists the somewhat varied, yet relatively low average rates of inflation for recent decades. It is